



File No.: EXP202302494

RESOLUTION OF SANCTIONING PROCEDURE

From the procedure initiated by the Spanish Agency for Data Protection and based on the following

BACKGROUND

FIRST: On January 30, 2023, A.A.A. (hereinafter, the complainant) filed a complaint with the Spanish Agency for Data Protection.

The complaint is directed against CAIXABANK PAYMENTS & CONSUMER EFC, EP, S.A.U. with NIF A08980153 (hereinafter, the defendant).

In the complaint received by this Agency, the following is reported:

"I have been improperly included in the BADEXCUG solvency file. I have requested, both in writing to the Court handling the enforcement process of the judgment, as well as through multiple calls to CaixaBank and the aforementioned collection companies, the regularization of the situation and the removal of the data from the delinquent file, without any effect. The inclusion has caused me significant harm as I recently applied for a loan that was denied due to my inclusion in this file."

Along with the complaint, the following documentation is provided:



Copy of the judgment from the Court of First Instance number X of Badalona, dated March 29, 2022, where the debt for the non-payment of installments of a credit card claimed by the defendant from the complainant was declared null.



Letter of prior payment demand, dated November 5, 2022, sent by the financial entity to the complainant, and



Letter from EXPERIAN, dated November 15, 2022; informing the complainant of the inclusion of their data in the BADEXCUG solvency file, since November 13, 2022, by order of the defendant.



Request for contestation of the settlement, submitted by the complainant, on November 23, 2022, before the Court of First Instance No. (...) of Barcelona.

SECOND: In accordance with Article 65.4 of Organic Law 3/2018, of December 5, on Personal Data Protection and Guarantee of Digital Rights (hereinafter LOPDGDD), on February 28, 2023, this complaint was forwarded to the defendant, for them to analyze and inform this Agency within one month of the actions taken to comply with the requirements set forth in data protection regulations. The forwarding, which was carried out in accordance with the rules established in Law 39/2015, of October 1, on the Common Administrative Procedure of Public Administrations (hereinafter, LPACAP), was acknowledged on March 2, 2023, as evidenced by the acknowledgment of receipt in the file. On April 3, 2023, a response letter from the defendant was received by this Agency indicating that the Judgment of the Court of First Instance No. X of Badalona, dated March 29, 2022, provided by the complainant, declares the nullity, for usury, of the credit card contract (...) dated November 30, 2017. The defendant states that as a consequence of this nullity, Article 3 of Law 23 of July 1908, on the nullity of usurious loan contracts, is applicable, which establishes the following:

"Once the nullity of a contract has been declared in accordance with this law, the borrower shall be obliged to return only the sum received; and if they have paid part of it and the overdue interest, the lender shall return to the borrower what exceeds the capital lent, taking into account the total received."

Thus, based on this Judgment, the defendant considers that Ms. A.A.A. is obliged to return to CaixaBank Payments & Consumer only the total capital lent that she has used (the only thing she will not pay are interests, penalties, commissions, etc.), since, as established by the Supreme Court, the consequence of the usurious nature of a loan, due to the interest rate, is that the borrower is obliged to return only the sum received, but not the interest and expenses.

Therefore, the defendant considers that the complainant logically has to pay CaixaBank Payments &

Consumer all the capital of the credit that she has used and, therefore, that has been lent to her. CaixaBank Payments & Consumer, in compliance with the aforementioned Judgment, carried out the settlement of the aforementioned contract to reflect the amount of the debt that remains. Thus, from the settlement carried out in this regard and after deducting the non-amortized capital the interests and commissions annulled for usury, a balance in favor of CaixaBank Payments & Consumer of ***AMOUNT € results.

Consequently, Ms. A.A.A. has an outstanding payment to CaixaBank Payments & Consumer of ***AMOUNT €, which is a certain, due, enforceable debt that has remained unpaid.

It is noted that there is currently an ongoing judicial process, which aims to determine the exact amount of the debt to be claimed.

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This party has received a judicial order in which the claimant (the complainant in this procedure) was instructed to confirm the amount of the settlement made by CaixaBank Payments & Consumer, to which there has been no response as of today.

CaixaBank Payments & Consumer sent the interested party the payment demand dated October 20, 2022.

In this demand, it is stated that, in the event of non-payment within the stipulated period, the data related to the default may be communicated to files related to compliance or non-compliance with monetary obligations.

Notwithstanding the above, CaixaBank Payments & Consumer, following its established criteria, proceeded to the preventive removal of the data reported to the credit information systems Asnef and Badexcug on January 12, 2023.

THIRD: On April 5, 2023, in accordance with Article 65 of the LOPDGDD, the complaint filed by the complainant was admitted for processing.

FOURTH: On June 12, 2023, the Director of the Spanish Agency for Data Protection agreed to initiate sanctioning proceedings against the respondent, in accordance with the provisions of Articles 63 and 64 of Law 39/2015, of October 1, on the Common Administrative Procedure of Public Administrations (hereinafter, LPACAP), for the alleged infringement of Article 6 of the GDPR, classified under Article 83.5 of the GDPR.

FIFTH: After notifying the aforementioned initiation agreement in accordance with the rules established in Law 39/2015, of October 1, on the Common Administrative Procedure of Public Administrations (hereinafter, LPACAP), on July 4, 2023, the respondent submitted a written statement of allegations in which, in summary, it stated that “the only ongoing procedure is the execution of judicial titles (...) (which arises from the Ordinary Procedure (...) of the Court of First Instance No. X of Badalona. - The claimant (here, the complainant) submitted a document in said Court, dated November 23, 2022, simply opposing the settlement initially presented by CaixaBank Payments & Consumer and requesting that it be required again to provide a new settlement.”

Furthermore, the respondent expresses that “it is not a prerequisite for inclusion in a solvency system that the prior existence of a certain, enforceable debt that has gone unpaid be declared judicially.”

The respondent insists that “the uncertainty of the debt cannot be inferred from the mere fact that the complainant and CaixaBank Payments & Consumer do not agree on the amount of the debt that remains.”

SIXTH: On July 7, 2023, the instructor of the procedure agreed to carry out the following evidence:

1. The complaint filed by A.A.A. and its documentation, the documents obtained and generated during the phase are considered reproduced for evidentiary purposes.

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of admission to processing of the claim, and the report of prior investigative actions that are part of the procedure AT/00952/2023.

2. Likewise, the allegations regarding the initiation of the referenced sanctioning procedure, submitted by CAIXABANK PAYMENTS & CONSUMER EFC, EP, S.A.U., and the accompanying documentation are hereby reproduced for evidentiary purposes.

SEVENTH: On July 20, 2023, a resolution proposal was made, proposing the following:

That the Director of the Spanish Agency for Data Protection sanctions CAIXABANK PAYMENTS & CONSUMER EFC, EP, S.A.U., with NIF A08980153, for an infringement of Article 6 of the GDPR, classified under Article 83.5 of the GDPR, with a fine of 200,000 euros (TWO HUNDRED THOUSAND euros).

That the Director of the Spanish Agency for Data Protection orders CAIXABANK PAYMENTS & CONSUMER EFC, EP, S.A.U., with NIF A08980153, to carry out the necessary actions within ten days, in accordance with Article 58.2.d) of the GDPR, so that the processing of the personal data used complies with the provisions of the GDPR.

EIGHTH: On August 17, 2023, allegations were submitted by the financial entity indicating the following:

"The only ongoing procedure is the execution of judicial titles (...) (which stems from the Ordinary Procedure (...) of the Court of First Instance No. X of Badalona. There is no procedure in processing between the claimant and CaixaBank Payments & Consumer, before the Court of First Instance (...) of Barcelona, since, logically, there is no financing contract signed between both parties with real estate collateral (mortgage on movable and immovable property); and the aforementioned court will not issue any judgment - nor any judicial resolution - regarding the unpaid debt by the interested party. – The plaintiff (here, the claiming party) submitted a document to the Court of First Instance No. X of Badalona (although in the heading, due to a clerical error, it stated Court of First Instance (...) of Barcelona), dated November 23, 2022, simply opposing the liquidation initially presented by CaixaBank Payments & Consumer and requesting that it be required again to provide a new liquidation.

It is not a prerequisite for inclusion in a debtors' file that the prior existence of a certain, enforceable, and unpaid debt be declared judicially. Thus, the Judgment of the Supreme Court - Civil Chamber, dated December 1, 2021 (Appeal No. 5863/2020, Rapporteur Hon. Mr. B.B.B.), in its Third Legal Basis states: "It is also not possible to establish a necessary relationship between the opposition to execution and the lack of certainty and accuracy of the debt. As we pointed out in judgment 245/2019, of April 25, which the Court of Appeal invokes pertinently and applies correctly, personal data cannot be included in so-called "debtors' files" due to debts.

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uncertain, doubtful, non-peaceful, or subject to litigation, "[n]o means that any opposition to the payment of a debt, however unjustified it may be, implies that the debt is uncertain or doubtful, because in such a case the certainty and enforceability of the debt would be left to the exclusive discretion of the debtor, who would only need to question its validity, regardless of the basis of their opposition, to turn the debt into uncertain [...]". In judgments 114/2016, of March 1, and 740/2015, of December 22, we already stated that "it is not necessary for there to be a judgment declaring the existence, amount, and enforceability of the debt for the debtor's personal data to be communicated to a registry of defaulters."

It is also not possible to deduce the uncertainty of the debt from the mere fact that the claimant and CaixaBank Payments & Consumer do not agree on the amount of the debt that remains, as reflected in the liquidation presented in the Court. The Order issued by the Court of First Instance No. X of Badalona, dated March 24, 2023 (submitted by this party and included in the present file) states: "... In view of what has been stated by the parties, I require the claimant to, within FIVE DAYS, specify the

amount for which they request the execution order and, in the event of failure to specify, it will be issued for the amount indicated by the defendant.”

Well, the claimant has not complied with the aforementioned judicial requirement, and instead of specifying an amount, they submitted a new document to the aforementioned Court, dated April 5, 2023 (also submitted by this party and included in the present file), in which they request that CaixaBank Payments & Consumer “provide a correct liquidation of the balance resulting from the reference contract.”

CaixaBank Payments & Consumer, after receiving, through the required transfer of copies, the aforementioned document from the opposing party, also submitted a document to the aforementioned Court, dated June 28, 2023, -along with the corresponding liquidation of the contract- (also submitted by this party and included in the present file), in which it clarifies and justifies that, from the liquidation carried out in this regard, and after deducting from the outstanding principal the interests and commissions annulled for usury, a balance in favor of CaixaBank Payments & Consumer of ***AMOUNT € results. And here it should be noted that the aforementioned Order also establishes that, in the event that the claimant does not specify the amount, “it will be issued for the amount indicated by the defendant.” Consequently, Ms. A.A.A. has an outstanding payment to CaixaBank Payments & Consumer of ***AMOUNT € (sum received, total capital lent), which is a certain, due, enforceable debt that has remained unpaid.

The debt of the affected party, throughout the time it remained in the common credit information systems, actually existed, so inaccurate data was not being maintained; rather, the default situation of the claimant reflected by their inclusion in the BADEXCUG file was accurate and truthfully corresponded to their actual situation. As stated previously, it is not possible to deduce the uncertainty of the debt from the mere fact that the interested party and CaixaBank Payments & Consumer do not agree on the amount of the debt that remains, as reflected in the liquidation presented in the Court. Therefore, CaixaBank Payments & Consumer did not maintain inaccurate data, but rather the recorded debt existed (and continues to exist currently) throughout the entire time it remained in the aforementioned common credit information system. Thus, the previously mentioned civil procedure for the enforcement of judicial titles (the only existing and ongoing one between the parties), from the Court of

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Court of First Instance No. X of Badalona does not prevent the discussion of a certain debt, nor does it impede its inclusion in common credit information systems, as previously explained.

Consequently, in this specific case and considering its particular circumstances, there is no conduct on the part of CaixaBank Payments & Consumer that warrants a sanction.”

NINTH: On September 6, 2023, the following statements were received from the defendant entity:

“That, on September 1, 2023, a telematic submission was made in the enforcement proceedings of judicial titles (...) (which arises from the ordinary trial (...)) of the Court of First Instance No. X of Badalona, regarding the settlement agreement reached between the interested party, Ms. A.A.A., and CaixaBank Payments & Consumer.

In said judicial transaction, which resolves the litigated issue and is attached to this document, it is stated:

“Well, Ms. A.A.A. and the financial entity CAIXABANK PAYMENTS, in full exercise of their autonomy of will, agree to the termination of the present enforcement procedure and request this Court to judicially homologate this transaction, consisting of the waiver by CAIXABANK PAYMENTS of the collection of the liquid, due, and enforceable debt that Ms. A.A.A. currently holds with the entity, amounting to ***AMOUNT euros in respect of the capital disbursed and not amortized with credit card number ***CARD.1 and, consequently, the waiver by Ms. A.A.A. to the continuation of the processing of the present enforcement procedure initiated against CAIXABANK PAYMENTS.”

Therefore, this new fact, which occurred on September 1, is relevant for the decision of the procedure and must be taken into account by that Agency since the interested party herself acknowledges the existence of the debt in the aforementioned judicial transaction, in which CaixaBank Payments & Consumer waives the collection of the amount of ***AMOUNT € (total capital lent disbursed and not amortized), which Ms. A.A.A. had pending payment, which was a certain, due, enforceable debt that

remained unpaid.”

From the actions taken in the present procedure and from the documentation in the file, the following has been established:

PROVEN FACTS

FIRST: In the judgment issued by the Court of First Instance number X of Badalona, dated March 29, 2022, it is established that in light of the interpretative approaches set forth by STS 149/2020 of March 4 (FD 4), in relation to credit cards or credit operations of the same nature or characteristics as the litigated one, to determine the reference that should be used as the “normal interest of money” for comparison with the interest questioned in the litigation and to assess whether it is usurious, the average interest rate at the time of the contract celebration corresponding to the category must be used.

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Corresponding to the questioned credit operation, we find that, according to the average values provided by the Bank of Spain for deferred payment cards for the year 2017, the interest rate index for their use was around 20.80%; thus, if in this case, the agreed APR for the credit operation we are judging (materialized in November 2017) was 25.33%, it must be concluded that we are dealing with an interest rate significantly higher than the normal rate for this operation and, therefore, it should be considered usurious, with the consequent declaration of nullity of the disputed contract in the general condition that establishes said remunerative interest.

SECOND: The claimant has been included in the BADEXCUG solvency file by the defendant since November 13, 2022, for an amount of 204.40 euros.

THIRD: The claimant has requested the challenge of the settlement before the Court of First Instance (...) of Barcelona, on November 23, 2022.

FOURTH: On September 1, 2023, a telematic submission was made in the execution procedure of judicial titles (...) (which arises from the ordinary trial (...) of the Court of First Instance No. X of Badalona), regarding the settlement agreement reached between the interested party, Ms. A.A.A., and CaixaBank Payments & Consumer, agreeing to the termination of the present executive procedure and requesting this Court to judicially homologate the present transaction, consisting of the waiver by CAIXABANK PAYMENTS of the collection of the liquid, due, and enforceable debt that Ms. A.A.A. currently holds with the entity, for an amount of ***AMOUNT euros.

LEGAL GROUNDS

I

In accordance with the provisions of Articles 58.2 and 60 of Regulation (EU) 2016/679 of the European Parliament and of the Council of April 27, 2016, regarding the protection of natural persons concerning the processing of personal data and the free movement of such data (GDPR), and as established in Articles 47, 48.1, 64.2, and 68.1 and 68.2 of Organic Law 3/2018, of December 5, on the Protection of Personal Data and Guarantee of Digital Rights (hereinafter, LOPDGDD), the Director of the Spanish Agency for the Protection of Data is competent to initiate and resolve this procedure.

Furthermore, Article 63.2 of the LOPDGDD states that: “The procedures processed by the Spanish Agency for the Protection of Data shall be governed by the provisions of Regulation (EU) 2016/679, by this organic law, by the regulatory provisions issued in its development, and, in so far as they do not contradict them, subsidiarily by the general rules on administrative procedures.”

II

Regarding the lawfulness of the processing of personal data, Article 6.1 of the GDPR establishes the following:

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"1. The processing shall be lawful only if at least one of the following conditions is met:

- a) the data subject has given consent to the processing of their personal data for one or more specific purposes;
- b) the processing is necessary for the performance of a contract to which the data subject is a party or for the implementation at the request of the data subject of pre-contractual measures;
- c) the processing is necessary for compliance with a legal obligation to which the data controller is subject;
- d) the processing is necessary to protect vital interests of the data subject or of another natural person;
- e) the processing is necessary for the performance of a task carried out in the public interest or in the exercise of official authority vested in the data controller;
- f) the processing is necessary for the purposes of legitimate interests pursued by the data controller or by a third party, provided that such interests are not overridden by the interests or fundamental rights and freedoms of the data subject which require protection of personal data, in particular when the data subject is a child.

The provision in point f) of the first paragraph shall not apply to processing carried out by public authorities in the performance of their tasks.

2. Member States may maintain or introduce more specific provisions to adapt the application of the rules of this Regulation regarding processing in compliance with paragraph 1, points c) and e), by specifying more precisely the specific requirements for processing and other measures that ensure lawful and fair processing, including other specific situations of processing under Chapter IX.

3. The legal basis for the processing referred to in paragraph 1, points c) and e), shall be established by:

- a) Union law, or
- b) the law of the Member States applicable to the data controller.

The purpose of the processing shall be determined in that legal basis or, in relation to the processing referred to in paragraph 1, point e), shall be necessary for the performance of a task carried out in the public interest or in the exercise of official authority vested in the data controller.

Such legal basis may contain specific provisions to adapt the application of the rules of this Regulation, including: the general conditions governing the lawfulness of processing by the data controller; the types of data subject to processing; the data subjects affected; the entities to which personal data may be communicated and the purposes of such communication; the limitation of purpose; the retention periods for the data, as well as the operations and procedures of processing, including measures to ensure lawful and fair processing, such as those relating to other specific situations of processing under Chapter IX.

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Union or Member State law shall pursue a public interest objective and shall be proportional to the legitimate aim pursued.

4. When the processing for a purpose other than that for which the personal data were collected is not based on the consent of the data subject or on Union or Member State law that constitutes a necessary and proportional measure in a democratic society to safeguard the objectives set out in Article 23, paragraph 1, the data controller, in order to determine whether the processing for another purpose is compatible with the purpose for which the personal data were initially collected, shall take into account, among other things:

- a) any relationship between the purposes for which the personal data were collected and the purposes of the intended further processing;
- b) the context in which the personal data were collected, in particular regarding the relationship between the data subjects and the data controller;
- c) the nature of the personal data, specifically when special categories of personal data are processed,

in accordance with Article 9, or personal data relating to criminal convictions and offenses, in accordance with Article 10;

d) the possible consequences for the data subjects of the intended further processing;

e) the existence of appropriate safeguards, which may include encryption or pseudonymization.”

In relation to credit information systems, we must refer to Article 20.1 of the LOPDGDD, highlighting its paragraph b), which establishes the following:

“1. Unless proven otherwise, the processing of personal data relating to the non-fulfillment of monetary, financial, or credit obligations by common credit information systems shall be presumed lawful when the following requirements are met:

a) That the data have been provided by the creditor or by someone acting on their behalf or interest.

b) That the data refer to certain, overdue, and enforceable debts, the existence or amount of which has not been subject to administrative or judicial claim by the debtor or through a binding alternative dispute resolution procedure between the parties.

c) That the creditor has informed the affected party in the contract or at the time of requesting payment about the possibility of inclusion in such systems, indicating those in which they participate.

The entity maintaining the credit information system with data relating to the non-fulfillment of monetary, financial, or credit obligations must notify the affected party of the inclusion of such data and inform them about the possibility of exercising the rights established in Articles 15 to 22 of Regulation (EU) 2016/679 within thirty days following the notification of the debt to the system, with the data remaining blocked during that period.

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d) That the data shall only be retained in the system while the non-compliance persists, with a maximum limit of five years from the due date of the monetary, financial, or credit obligation.

e) That the data related to a specific debtor may only be consulted when the person consulting the system has a contractual relationship with the affected party that involves the payment of a monetary amount or has requested the conclusion of a contract that implies financing, deferred payment, or periodic billing, as occurs, among other cases, in those provided for in the legislation on consumer credit contracts and real estate credit contracts.

When the right to limit the processing of data has been exercised before the system by contesting its accuracy in accordance with the provisions of Article 18.1.a) of Regulation (EU) 2016/679, the system shall inform those who may consult it in accordance with the previous paragraph about the mere existence of such circumstance, without providing the specific data regarding which the right has been exercised, while the request of the affected party is being resolved.

f) That, in the event that the request for the conclusion of the contract is denied, or it does not come to fruition as a result of the consultation made, the person who consulted the system shall inform the affected party of the result of such consultation.”

III

In the present case, the claiming party points out the improper inclusion of their personal data in solvency files, as the debt is not yet certain since it is being contested in an ongoing judicial process. The responding entity claims that based on the Judgment of the Court of First Instance number X of Badalona, dated March 29, 2022, it carried out the settlement of the debt against the claiming party, and since payment was not made, a prior payment request was made on November 5, 2022, followed by the inclusion of their personal data in the solvency file BADEXCUG on November 13, 2022. Furthermore, the responding entity points out a material error on the part of this Agency, as it considers that the claimant did not appear before the Court of First Instance (...) of Barcelona, but rather before the Court of First Instance number X of Badalona.

In this regard, it should be noted that from the documentation provided by the claiming party, it has been learned that in addition to appearing before the Court of First Instance number X of Badalona, which issued a judgment dated March 29, 2022, the claiming party has also contested the settlement

of the debt in question, as required by the responding entity.

Despite such contestation presented on November 23, 2022, the financial entity did not proceed to the preventive cancellation of the data declared to the credit information systems until January 12, 2023, so from November 23, 2022, the date of the contestation of the settlement, until January 12,

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2023, the date on which the removal of data from the credit information system becomes effective, the inclusion in solvency files of the data of the party being claimed at the request of the claiming entity lacked a basis for legitimacy.

On this matter, on July 4, 2023, the party being claimed states that “it is not a prerequisite for inclusion in a solvency system that there be a prior declaration of a certain, due, and unpaid debt.”

Furthermore, on September 6, 2023, this Agency received information regarding the agreement reached between the parties on September 1, 2023, where they agree to terminate the executive procedure and request the Court to judicially homologate the transaction, consisting of the waiver by CAIXABANK PAYMENTS of the collection of the liquid, due, and payable debt that Ms. A.A.A. currently holds with the entity, in the amount of ***AMOUNT euros for the capital disbursed and not amortized with credit card no. ***CARD.1, in such a way that the claiming entity understands that with this agreement, the interested party acknowledges the existence of the debt in the aforementioned judicial transaction, in which CaixaBank Payments & Consumer waives the collection of the amount of ***AMOUNT €.

In response to such allegation, it should be indicated that the Judgment of the Supreme Court, dated November 12, 2020, Appeal 4739/2019, in its legal basis IV states the following:

“Doctrine on the issue that presents objective cassational interest.

The admission order issued in this appeal on November 15, 2019 established that the issue raised in the appeal that presented objective cassational interest for the formation of jurisprudence consisted of 'determining whether the concept of certain, due, enforceable debt that has gone unpaid includes the total amount of the debt claimed through administrative or judicial means, or whether, for the purposes of possible inclusion in the ASNEF register, that amount which has not been claimed can be deducted, in this case the principal of the debt and the remunerative interests, since only those amounts derived from accessory clauses of the contract have been claimed.'

Well, to respond to the aforementioned issue, we must clarify what the true purpose pursued with the inclusion of data in the so-called 'delinquent registers' is, and also, what requirements must be met for such inclusion to be considered legitimate.

In this regard, the First Chamber of this Supreme Court - in its SSTs 463/2019, of September 11; 174/2018, of March 23; 68/2016, of February 16; 740/2015, of December 22; and 176/2013, of March 6, among others - has established a doctrine that we fully share and that can be summarized as follows:

- The data included in these delinquent registers must be true and accurate; but compliance with these requirements alone is not sufficient to meet the demands of the principle of data quality in this type of register. There are data

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that may be certain and accurate without being relevant, as they are not determinative for assessing the economic solvency of the interested parties.

- If the debt is subject to controversy because the data subject legitimately believes that they do not owe what is being claimed and the matter is under judicial or arbitral decision, the lack of payment is not indicative of the insolvency of the affected party. The debt may ultimately be recognized, in whole

or in part, by the judgment or arbitral award and therefore may be considered as a true fact. However, it was not a pertinent and proportionate fact for the purpose of the automated file, as its purpose is not merely to ascertain debts, but to evaluate the asset solvency of the affected parties. Therefore, only the inclusion in these files of those debtors who cannot or do not want to pay their debts without justification is pertinent, but not of those who are legitimately disputing with the creditor the existence or amount of the debt.

- When it comes to files related to the fulfillment of monetary obligations, the debt must also be due and enforceable, certain, that is, unequivocal, undoubted, and a prior payment request is also necessary. For this reason, it is not permissible to include personal data in these records due to uncertain, doubtful, non-peaceful, or litigated debts.

- The inclusion in the records of defaulters cannot be used by large companies to seek to collect amounts they deem pertinent, relying on the fear of personal discredit of the affected party, the detriment to their professional prestige, and the denial of access to the credit system that appearing in a defaulter file entails, thereby avoiding the costs that would come with initiating the corresponding judicial procedure, which often exceeds the amount of the debts they claim. Therefore, the inclusion in the defaulter registry when the client has legitimately questioned the existence or amount of the debt, in judicial or arbitral proceedings, constitutes illegitimate pressure.

Consequently, in light of the aforementioned doctrine, it is appropriate to respond to the question posed by the Admission Section in the following terms:

In consideration of the purpose of such records—which is not to ascertain the non-payment of debts, but to evaluate the asset solvency of the debtor—for the inclusion of the debtor's data in a defaulter registry to be considered legitimate, it is not enough for the amount of the unpaid debt to be accurate and true; it is also necessary for the inclusion in the registry to be pertinent. And it will not be pertinent when the debtor has legitimately questioned, in administrative, judicial, or arbitral proceedings, the existence or amount of the debt.

Therefore, we must understand that, although a prior judicial declaration is certainly not required for a debt to be included in a credit information system, it is necessary that the debt is not uncertain, doubtful, non-peaceful, or subject to litigation, which is why preventive cancellation should have been carried out, as is being claimed in this case.

On the other hand, it is indicated that the amount of the sanction is disproportionate; in this regard, it should be noted that the proportionality of the imposed sanction is justified in

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the basis VI of this resolution, which takes into account all the concurrent circumstances for the sanction, in the same way that the responsibility of the respondent has been motivated in the constitutive facts of the infringement.

Thus, it follows from the proven facts of this procedure the serious lack of diligence of the respondent in maintaining the claimant's data registered in the credit information system despite the existence of an open judicial proceeding affecting the amount of the debt. The inclusion or maintenance of the debt in credit information systems, when the affected party has legitimately questioned the existence or the amount of the debt, either judicially or arbitrarily, affects the very purpose of the common file, which is none other than to facilitate information about the debtor's solvency. The mere lack of payment of the debt when it is disputed is not indicative of insolvency, since, as stated by the Supreme Court in its Judgment of November 12, 2020, Appeal 4739/2019, only the inclusion in these files of those debtors who cannot or do not want, without justification, to pay their debts is pertinent, but not of those who are legitimately disputing with the creditor the existence or the amount of the debt.

Therefore, diligence must be heightened in these cases to ensure that personal data related to debts subject to litigation are not included or remain in common credit information systems. Such inclusion or permanence constitutes an illegitimate pressure that the debtor, who justifiably disputes the veracity of the debt or its amount, should not have to endure.

The infringement attributed in this case may be sanctioned with a fine of up to €20,000,000 or, in the case of a company, an amount equivalent to a maximum of 4% of the total annual global turnover of the previous financial year, opting for the higher amount, as dictated by Article 83.5 of the GDPR. Given these circumstances, it follows that the amount set as a sanction for the respondent is not disproportionate.

IV

In light of the above, it should be noted that the violation of data protection regulations occurs when the respondent maintained the claimant's data in the credit information system from the challenge of the settlement until January 12, 2023, the date on which the cancellation becomes effective; therefore, during this period, there has been processing without a basis for legitimization of the claimant's personal data.

The Opinion 757/2017 of the Council of State, issued in the file relating to the draft Organic Law on the Protection of Personal Data, states regarding the legality of a weighting of legitimate interest made in a normative text the following:

"Without prejudice to what has just been observed, given the undeniable convenience of guaranteeing the maximum degree of legal security possible by offering operators certain guidelines in their actions, without prejudice to respecting the direct applicability of the European Regulation and, in any case, with the objective..."

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To ensure its useful effect, the Council of State wishes to point out, as an alternative solution, the possibility of introducing, through legislative means, in specific cases, simple *iuris tantum* presumptions favorable to the prevalence of the legitimate interest of the data controller when certain requirements or conditions are met.

This solution could align with the flexibility in the balancing of interests and the principle of proactive responsibility of the data controller that, as indicated, is pursued by the new community regulation. Furthermore, the provision of simple presumptions unless proven otherwise would fit within the analyzed jurisprudence, which prohibits establishing in a national norm the result of the aforementioned balancing "definitively (...), without allowing for a different outcome," an obstacle that the alternative solution proposed here would, in principle, allow to avoid.

Following this provision, the LOPDGDD introduces a "*iuris tantum*" presumption of the prevalence of the legitimate interest of the data controller in certain specific cases, including the processing of data in credit information systems. Thus, when the guarantees provided in Article 20 of the LOPDGDD are observed, the processing may be presumed lawful under Article 6.1.f) of the GDPR, without prejudice to the fact that the legitimacy must be assessed on a case-by-case basis and without prejudice to the fact that the controller may carry out the legally required balancing when the aforementioned guarantees are not met, as clarified in the preamble of the law, which states:

"In Title IV, 'Provisions applicable to specific treatments' are included, incorporating a series of cases that should in no case be considered exhaustive of all lawful treatments. Among them, it is worth noting, first of all, those for which the legislator establishes a '*iuris tantum*' presumption of the prevalence of the legitimate interest of the controller when carried out with a series of requirements, which does not exclude the lawfulness of this type of processing when the conditions set forth in the text are not strictly met, although in this case the controller must carry out the legally required balancing, as the prevalence of their legitimate interest is not presumed."

Among the aforementioned guarantees, Article 20 of the LOPDGDD includes the one stating that "the data refer to certain, due, and enforceable debts, the existence or amount of which has not been subject to administrative or judicial claim by the debtor or through a binding alternative dispute resolution procedure between the parties" (Article 20.1.b) GDPR).

And as has been stated, in this case, the amount of the debt was disputed, so the presumption of lawfulness cannot be applied, and the claimed party must carry out its own balancing as the legally

established balancing does not apply. However, in this case, there is no indication that the claimed party has carried out such balancing and consequently that its legitimate interests prevail over the interests, rights, and freedoms of the claimed party.

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Therefore, in accordance with the available evidence, it is considered that the described facts constitute a violation of Article 6.1 of the GDPR, as the inclusion of personal data in credit information systems due to a disputed debt by the claimant, which is pending judicial resolution, is not covered by the presumption of lawfulness provided for in Article 20 of the LOPDGDD. This implies processing of personal data without a legal basis, as there is no indication that the respondent has conducted the necessary balancing to determine the prevalence of its legitimate interest over the interests, rights, and freedoms of the claimant, since this processing is not protected by the presumption of lawfulness contemplated in Article 20 of the LOPDGDD, given that the debt subject to inclusion in the solvency files was not yet certain as it was in an ongoing judicial process.

V

Article 58.2 of the GDPR states the following: “Each supervisory authority shall have all of the following corrective powers:

b) to impose a warning on any controller or processor when the processing operations have infringed the provisions of this Regulation;

d) to order the controller or processor to bring the processing operations into compliance with the provisions of this Regulation, when appropriate, in a specific manner and within a specified time;

i) to impose an administrative fine in accordance with Article 83, in addition to or instead of the measures mentioned in this paragraph, depending on the circumstances of each particular case; Furthermore, Article 72.1 b) of the LOPDGDD indicates that “based on what is established in Article 83.5 of Regulation (EU) 2016/679, the following infringements shall be considered very serious and shall be subject to a three-year limitation period, which involve a substantial breach of the articles mentioned therein and in particular, the following:

b) The processing of personal data without any of the conditions for lawfulness of processing in Article 6 of Regulation (EU) 2016/679.”

VI

This infringement may be sanctioned with a fine of up to €20,000,000 or, in the case of a company, an amount equivalent to a maximum of 4% of the total annual global turnover of the previous financial year, opting for the higher amount, in accordance with Article 83.5 of the GDPR.

Furthermore, it is considered appropriate to adjust the sanction to be imposed according to the following criteria established by Article 83.2 of the GDPR and Article 76.2 of the LOPDGDD:

As aggravating factors the following:

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- In this case, we are faced with clearly negligent action (Article 83.2 b) as the personal data of the claimant is maintained in solvency files, despite the fact that the debt subject to inclusion is in an ongoing judicial procedure. Furthermore, it must be taken into account that the claimant's data was retained despite knowledge of the judicial procedure.

The respondent is a large company in its business sector, which must ensure that the processing it carries out complies with data protection regulations. It is an entity accustomed to processing personal data. In this regard, the SAN of October 17, 2007 (rec. 63/2006) is very illustrative, which indicates that

“...the Supreme Court has understood that there is negligence whenever a legal duty of care is neglected, that is, when the infringer does not behave with the required diligence. And in assessing the degree of diligence, the professionalism or lack thereof of the subject must be particularly weighed, and there is no doubt that, in the case now examined, when the activity of the appellant involves constant and abundant handling of personal data, it must insist on the rigor and exquisite care to comply with the legal provisions in this regard.”

- The connection with the processing of personal data, by the respondent entity, being a credit institution, according to Article 76.2 b) of the LOPDGD.

It is appropriate to adjust the sanction to be imposed on the respondent and set it at the amount of €200,000 in accordance with Article 58.2 of the GDPR.

VII

In accordance with the provisions of the aforementioned Article 58.2 d) of the GDPR, each supervisory authority may “order the controller or processor to bring the processing operations into compliance with the provisions of this Regulation, when appropriate, in a specific manner and within a specified time...”.

The imposition of this measure is compatible with the sanction consisting of an administrative fine, as provided in Article 83.2 of the GDPR.

It is noted that failure to comply with a possible order to adopt measures imposed by this agency in the sanctioning resolution may be considered an administrative infringement in accordance with the provisions of the GDPR, classified as an infringement in its Articles 83.5 and 83.6, which may lead to the initiation of further administrative sanctioning procedures.

Therefore, in accordance with the applicable legislation and having assessed the criteria for the graduation of the sanctions whose existence has been established,

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The Director of the Spanish Agency for Data Protection RESOLVES:

FIRST: TO IMPOSE on CAIXABANK PAYMENTS & CONSUMER EFC, EP, S.A.U., with NIF A08980153, a fine of 200,000 euros (TWO HUNDRED THOUSAND euros) for a violation of Article 6 of the GDPR, classified under Article 83.5 of the GDPR.

SECOND: TO NOTIFY this resolution to CAIXABANK PAYMENTS & CONSUMER EFC, EP, S.A.U.

THIRD: TO ORDER CAIXABANK PAYMENTS & CONSUMER EFC, EP, S.A.U., with NIF A08980153, in accordance with Article 58.2.d) of the GDPR, to take the necessary actions within a period of 6 months to ensure that the processing of personal data in credit information systems complies with the provisions of the GDPR and to provide evidence of such compliance.

FOURTH: To warn the sanctioned party that they must pay the imposed sanction once this resolution becomes enforceable, in accordance with the provisions of Article 98.1.b) of Law 39/2015, of October 1, on the Common Administrative Procedure of Public Administrations (hereinafter LPACAP), within the voluntary payment period established in Article 68 of the General Collection Regulation, approved by Royal Decree 939/2005, of July 29, in relation to Article 62 of Law 58/2003, of December 17, by depositing the amount, indicating the NIF of the sanctioned party and the procedure number that appears in the heading of this document, into the restricted account No. IBAN:

ES00-0000-0000-0000-0000-0000 (BIC/SWIFT Code: CAIXESBBXXX), opened in the name of the Spanish Agency for Data Protection at the banking entity CAIXABANK, S.A. Otherwise, collection will proceed in the executive period.

Upon receipt of the notification and once it is enforceable, if the date of enforceability falls between the 1st and the 15th of each month, inclusive, the deadline for voluntary payment will be until the 20th of the following month or the next business day thereafter, and if it falls between the 16th and the last day of each month, inclusive, the payment deadline will be until the 5th of the second following month or the next business day thereafter.

In accordance with the provisions of Article 50 of the LOPDGDD, this Resolution will be made public once it has been notified to the interested parties.

Against this resolution, which concludes the administrative procedure in accordance with Article 48.6 of the LOPDGDD, and in accordance with the provisions of Article 123 of the LPACAP, the interested parties may optionally file a motion for reconsideration before the Director of the Spanish Agency for Data Protection within one month from the day following the notification of this resolution or directly file an administrative contentious appeal before the Contentious-Administrative Chamber of the National Court, in accordance with the provisions of Article 25 and Section 5 of the fourth additional provision of Law 29/1998, of July 13, regulating the Contentious-Administrative Jurisdiction, within two months from the day following the notification of this act, as provided in Article 46.1 of the aforementioned Law.

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Finally, it is noted that in accordance with the provisions of Article 90.3 a) of the LPACAP, the firm resolution in the administrative procedure may be provisionally suspended if the interested party expresses their intention to file an administrative contentious appeal. If this is the case, the interested party must formally communicate this fact by means of a written document addressed to the Spanish Agency for Data Protection, submitting it through the Electronic Registry of the Agency [<https://sedeagpd.gob.es/sede-electronica-web/>], or through any of the other registries provided for in Article 16.4 of the aforementioned Law 39/2015, of October 1. They must also provide the Agency with documentation evidencing the effective filing of the administrative contentious appeal. If the Agency is not aware of the filing of the administrative contentious appeal within two months from the day following the notification of this resolution, the provisional suspension will be considered terminated.

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Mar España Martí

Director of the Spanish Agency for Data Protection

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